

Chapter 3

The Public Interest

25. While we do not overlook the interests of distributors who are refused supplies, we think that in general the interests of consumers and users are the ultimate touchstone by which to assess the public interest in the practices covered by this inquiry. In general terms it is in their interest that the distribution of goods should be done efficiently and preferably under reasonably competitive conditions, and that competition, actual or potential, among suppliers and distributors should not be inhibited by refusals except when on balance the result is greater efficiency.

26. In our view the best approach to a determination of the public interest issues is by a consideration of the grounds on which suppliers may in their own interests refuse supplies.

- (1) A supplier may wish to avoid the risk of contributing to a situation in which price competition among distributors might lead eventually to pressure by them on him for better terms or might cause suppliers to compete more vigorously among themselves. In particular he may wish to avoid supplying a known or suspected price cutter. To withhold supplies on this ground is unlawful under the Resale Prices Act 1964. Where, therefore, this is the true ground, he will be likely to advance some other ground as the reason for his refusal. Section 2 (4) of the Resale Prices Act 1964 provides that 'For the purposes of this Act a supplier shall not be treated as withholding supplies of goods on any such ground as is mentioned in subsection (1) of this section if, in addition to that ground, he has other grounds which, standing alone, would have led him to withhold those supplies' (see also paragraph 29).
- (2) A supplier may refuse new outlets, although otherwise willing to supply them, because he is threatened with the withdrawal of custom by one or by some of his existing distributors. The threat may be explicit or implicit and the latter even to the point of being tacitly assumed by the supplier. The existing distributors may be motivated by the fact that the new account is a known or suspected price cutter but not necessarily so; they may seek simply to avoid having their business reduced.
- (3) Demand may exceed supply and, being unwilling to raise prices, a supplier may select his customers or impose some system of rationing, involving refusal to supply.
- (4) A supplier may estimate that to add to the number of outlets he supplies would increase his distribution costs without compensatory advantages to him in terms of more sales and increased profits.*

*Refusal situations arising when firms sell direct to consumers or operate mail order businesses are special cases within this category.

- (5) A supplier may estimate that he does better by catering for a limited class of customer who will pay for exclusiveness than by extending his outlets and risking the loss of his exclusive trade.
- (6) The product may need technical or other services (e.g. advertising and stockholding) to be provided by distributors or be appropriate only to users employing a certain level of technology.

27. We take the view that there is no conflict with the public interest in suppliers acting from reasons (3) to (6) where conditions are reasonably competitive. There is the additional point that the circumstances to which (3) relates will for the most part occur only in the short term.

28. As regards (4), (5) and (6), a supplier would not of his own volition withhold supplies from any distributor or customer unless he estimated that to do otherwise would in the long run be to his disadvantage in terms, for example, of lower profits or smaller share of the market. But from the point of view of the public interest there may be a difference, which also applies in the case of (3) when the refusals are other than short term, between the effects of refusals made by suppliers operating under reasonably competitive conditions and those of refusals made by suppliers where such conditions are absent. We shall consider the latter in paragraph 33. Here we concern ourselves with such refusals under competitive conditions and we see no reason to regard their effects as harmful to the consumer or user. Of course, a supplier may be mistaken in his judgment but we do not consider normal commercial fallibility in these matters to raise an issue of public interest. This is not to say that in some cases practices which are claimed to flow from reasons such as these are not in fact attempts to restrict competition and to maintain final prices higher than they would otherwise be. The true reason is then that of (1) above.

29. Turning now to reasons (1) and (2), the effects of refusals made in pursuance of them are, or may be suspected of being, damaging, in principle, to the public interest. As regards (1), refusals for the purpose of avoiding supplying a known or suspected price cutter have been declared unlawful by the Resale Prices Act 1964. Section 2 (1) of the Act reads as follows:

- 2. (1) Subject to the provisions of this Act with respect to registration, to the powers of the Restrictive Practices Court thereunder and to the next following section, it shall be unlawful for any supplier to withhold supplies of any goods from a dealer seeking to obtain them for resale in the United Kingdom on the ground that the dealer—
 - (a) has sold in the United Kingdom at a price below the resale price goods obtained, either directly or indirectly, from that supplier, or has supplied such goods, either directly or indirectly, to a third party who had done so; or
 - (b) is likely, if the goods are supplied to him, to sell them in the United Kingdom at a price below that price, or supply them, either directly or indirectly, to a third party who would be likely to do so.

Section 4 (4) of the Act establishes a presumption in the circumstances there described that refusal is for the purpose of resale price maintenance, unless the contrary is proved.

4. (4) If in proceedings brought against a supplier of goods in respect of a contravention of section 2 of this Act it is proved that supplies of goods were withheld by the supplier from a dealer, and it is further proved—

- (a) that down to the time when supplies were so withheld the supplier was doing business with the dealer or was supplying goods of the same description to other dealers carrying on business in similar circumstances; and
(b) that the dealer, to the knowledge of the supplier, had within the previous six months acted as described in paragraph (a) of subsection (1) of that section, or had indicated his intention to act as described in paragraph (b) of that subsection in relation to the goods in question,

it shall be presumed, unless the contrary is proved, that the supplies were withheld on the ground that the dealer had so acted or was likely so to act:

Provided that this subsection shall not apply where the proof that supplies were withheld consists only of evidence of requirements imposed by the supplier in respect of the time at which or the form in which payment was to be made for goods supplied or to be supplied.

A further provision of the Act, section 2 (4), to which we have already referred (paragraph 26 (1)), relates specifically to cases of refusal where the supplier's reasons are mixed.

2. (4) For the purposes of this Act a supplier shall not be treated as withholding supplies of goods on any such ground as is mentioned in subsection (1) of this section if, in addition to that ground, he has other grounds which, standing alone, would have led him to withhold those supplies.

30. In general, situation (2) (threatened boycott) arises where the supplier is prepared to add to his outlets, including even price cutting outlets, in the long term interests of developing his business but where the risk of losing existing custom deters him. The supplier, if challenged, may be unwilling to give the real reason for his refusal, seeking instead to represent it as conforming to a legitimate market strategy.

31. The nature of the consequences for consumers or users of a successful threat to boycott a supplier if he supplies another distributor will depend mainly on whether the refused distributor is a price cutter. In any case consumers or users will be denied the benefit of a choice which the supplier was prepared, but for the threat of boycott, to make available to them and this, together with the loss of future competitive possibilities is, in itself, against the public interest. If, in addition, the refused distributor is a price cutter the benefits of immediate price competition will be lost. Any measure which made it more clearly and effectively unlawful for a supplier to refuse a price cutter should strengthen his resistance to a would-be boycotter; and any such measure should also reduce the temptation to boycott, since a distributor, aware that a supplier had no choice in the matter, would see less prospect of influencing him.

32. In the case of refusals both for reasons of maintaining resale prices and as a result of threatened boycott, the degree of damage done to consumers' or users' interests will depend mainly on whether substitutes or near-substitutes for the refused articles exist. If they do exist and provided their suppliers are not also refusing supplies for these reasons the adverse consequences of refusal will be mitigated.

33. If a supplier is not operating under reasonably competitive conditions he may have grounds for refusing supplies other than those discussed in paragraphs 26, 27 and 28. Thus, where in such circumstances a supplier is vertically

integrated (see paragraph 15 (v)) he may refuse supplies to competitors. Another example is where the supplier may withhold supplies from a certain category of distributors because he fears that in the long run that category will grow so large as to be able to develop competing sources of supply. Refusal situations can be due to 'loyalty agreements' (paragraph 15 (ii)) by which customers bind themselves to buy only from the supplier in question. Refusal situations arising from conditional selling (see paragraph 15 (iii)) may in certain cases be due to the exercise of market power. Where reasonably competitive conditions do not prevail refusals may put the public interest at risk although not all refusals made by a supplier in these circumstances carry this implication; for example, refusal by a supplier may be due solely to his following a selective distribution policy based on one or more of the acceptable grounds set out in paragraph 26 (3), (4), (5) and (6). However, in all refusal situations where reasonably competitive conditions are absent investigation may be necessary in order to determine whether or not the practice is against the public interest.

34. As we said in paragraph 9, exclusive supply agreements give rise to refusal situations. Whether or not such situations are damaging to the interests of consumers and users can be analysed on the lines which we have used so far. Exclusive supply agreements may simply give effect to a supplier's free choice of distributive system in the situations described in paragraph 26 (4), (5) and (6). On the other hand, a supplier who would prefer to sell to two or more distributors in a given market may find that none will take his goods unless given an exclusive supply agreement. Situations such as this may be akin to a threat of boycott and consumers and users may suffer although, as in all refusal situations, the availability of substitutes or near substitutes may mitigate the adverse effect.

35. We have excluded considerations of credit-worthiness from our analysis. No businessman can be expected to act in a way contrary to that prompted by his genuine assessment of the financial risk.*

*See also the proviso in section 4 (4) of the Resale Prices Act 1964, quoted in paragraph 29 above.